

The *tanist* to the wealth strategist needs to have a thorough understanding of investment strategy and years of direct experience in investing. The *tanist* apprentices with the current wealth strategist. It's part of the wealth strategist's job to educate the other members of the investment committee and to train his successor.

Some of the other duties of the wealth strategist are:

- To hold brokers, wealth managers, and everyone involved with the family portfolio accountable for performance.
- To establish clear investment objectives and goals.
- To have a big-picture outlook that translates into simple and manageable investments.

The wealth strategist leads the investment committee team to create an asset allocation model and the follow-through for implementing the model. He should also act as chairman of the investment committee. He should have the most investing experience and be capable of directing the overall strategy. He should understand asset allocation and risk management (deep value investing, diversification, and position sizing).

A key function of your family office is to professionalize the asset management of your family over multiple generations. You can't do this without having a capable investment committee in current and future generations.

A TRAINING GROUND FOR THE NEXT GENERATION: A FAMILY PHILANTHROPY

The elder of your authors doesn't believe in philanthropy. He thinks it is throwing money away, at best. At worst, he thinks it hurts the beneficiaries.

He may be right. Our family saw up close what happened to the inner city. We lived in the Baltimore ghetto when the family was young. Welfare payments ruined the poor families who lived there. They stopped working. Families broke up. Unearned money turned the place into a living hell.